

Types of zero-rated supplies [¶32-030]

[¶32-030]

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Classification of zero-rated supplies

Sections [11](#), [11A](#), [11AB](#), [11B](#) and [11C](#) of the GST Act provide for the imposition of 0% GST. The relevant supplies can be classified as ones of:

Goods under s [11](#) ([¶32-032](#)):

- # exported goods
- # goods shipped by a non-resident purchaser on free on board (FOB) terms
- # sealed bag goods and goods sold by duty-free shops
- # goods due to be exported
- # certain sales of boats and aircraft
- # goods for consumption on aircraft, yachts or ships outside New Zealand
- # goods applied in respect of temporary imports
- # goods situated overseas at the time of supply and either the goods are not situated in New Zealand at the time of delivery to the recipient and/or the goods are not distantly taxable goods and GST is paid by the recipient on the importation of the goods into New Zealand
- # distantly taxable goods to which s [60\(1C\)\(a\)](#) applies, being a supply from an underlying supplier to an operator of a marketplace ([¶32-660](#))
- # taxable activities disposed of as going concerns ([¶32-035](#))
- # newly refined precious metal
- # tools used in New Zealand solely to manufacture goods that will be for export from New Zealand and supplied to an unregistered non-resident
- # a supply of land made by a registered person to another registered person who acquired the goods with the intention of using them for making taxable supplies ([¶32-505](#))
- # goods supplied to or by the Crown as consideration for the zero-rated transfer or surrender of an emissions unit except for a transfer by the Crown under a project to reduce emissions or under a negotiated greenhouse agreement.
- # "Exported" services and some "business-to-business" financial services under s [11A](#) ([¶32-034](#)):
 - # international transportation and freight
 - # services connected with offshore realty
 - # services relating to offshore personal property
 - # certain services connected with goods in transit
 - # services performed outside New Zealand
 - # certain services supplied to non-residents
 - # services relating to exported goods
 - # services provided to an offshore warrantor
 - # services relating to offshore intellectual property rights
 - # offshore restraint of trade agreements
 - # some business-to-business supplies of financial services ([¶32-300](#))
 - # the transfer of an emissions unit (other than a transfer by the Crown under a project to reduce emissions or a negotiated greenhouse agreement) or the surrender of an emissions unit, and services supplied as consideration for such a transfer or surrender, and the sale or disposal of certain other units relating to human-induced greenhouse gases
 - # services supplied directly in connection with tools used in New Zealand solely to manufacture goods that will be for export from New Zealand and supplied to an unregistered non-resident, and
 - # cross-border remote services supplied by non-resident suppliers to New Zealand-resident registered persons if the supplier so chooses ([¶32-680](#)).
 - # Certain cross-border telecommunications services under s [11AB](#).

Certain supplies made and received by territorial and local authorities under s [11B](#).

Certain supplies by operators of loyalty programmes under s [11C](#).

Zero-rating applies only if the supply would otherwise be taxable at the standard rate. Supplies that are taxed at either the standard rate or 0% are termed “taxable supplies”.

Zero-rated supplies explained

The zero-rating of the above supplies reflects 2 considerations: that the effect of GST is to be limited to New Zealand, and that GST is not to be charged arbitrarily at a standard rate.

The zero-rating of supplies of exported goods, goods situated overseas, and “exported” services results from a basic principle that the tax should not increase the price of overseas supplies. The GST regime is thus to be effectively confined to New Zealand.

The zero-rating of the supply of taxable activities as a going concern, of newly refined precious metal, and of certain minor indirect taxes reflects a different consideration: that GST should not produce arbitrary results by being imposed at the current standard rate.

Zero-rating part of a supply

One part of a supply may be charged with the standard rate of GST and the other part 0%. For example, a taxable supply of services might be partly performed in New Zealand and partly performed outside this country. Here the supply is “split” and GST is calculated on each separate component. Similarly, a sale of land may involve an area that is subject to a leasing activity and an adjacent entirely bare and unused area of land. In this case the land with the leasing activity might comprise a zero-rated going concern transaction, while the bare land (not part of the leasing activity) would be subject to a full GST impost. See Case N38 (1991) 13 NZTC 3,322 and *C of IR v Smiths City Group Ltd* (1992) 14 NZTC 9,140 (HC).

Section [5\(14\)](#) provides that where a supply is charged with tax in part under s [8](#) and in part under s [11](#), [11A](#), [11AB](#), [11B](#) or [11C](#), each part is deemed to be a separate supply.

Two separate supplies are deemed to occur in supplies of dwellings with other real property (such as the supply of a farm with a farmhouse or the supply of a commercial building with a dwelling attached). The consideration for the supply in this situation must be apportioned in respect of each supply.

Section [5\(15\)](#) provides that a supply of a principal place of residence or a supply of land that falls under s [14\(1\)\(d\)](#) is deemed to be separate from the supply of any other real property included in the supply ([¶132-555](#)).

Law: GST ss [5\(14\)](#), [11](#), [11A](#), [11AB](#), [11B](#)

Last reviewed on 31 December 2025

GST and exported goods [132-032]

[132-032]

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A taxable supply of exported goods is usually charged with tax at the rate of 0%. The supply can be zero-rated under either of 2 statutory criteria: goods that have been exported and goods that will be exported. In either circumstance, the supplier must be the party who exports or will export the goods for zero-rated status to apply. See Case P55 [\(1992\) 14 NZTC 4,382](#) which confirms this requirement.

Goods that have been exported

GST is charged at the rate of 0% on a taxable supply of goods if the supplier:

- # has entered the goods for export, or the goods have been deemed to be entered for export, and
- # the goods have been exported by the supplier, or
- # the supplier has satisfied the Commissioner that the goods have been exported by the supplier to a place outside New Zealand.

The provision will be used, generally, if goods are exported before the “time of supply”, although it is not limited to that occasion.

IR requires evidence of export, such as the customs export entry, international parcel customs declaration, delivery evidence (eg bill of lading showing export by sea or air waybill for export by air), packing list, delivery note or purchase order showing overseas delivery address, insurance documents. The exporter should retain the relevant records as GST records.

Where goods have been exported but the necessary documentation has not been completed, that is, the goods have neither been entered nor deemed to be entered for export, they may still attract zero-rating if the Commissioner so determines. There are no prescribed guidelines for the exercise of this discretion, which is subject to a right of objection.

Goods to be exported

Goods that are to be exported may also be zero-rated. The focus is on whether the goods will be exported as a condition of or in the course of making the supply. The residence of the recipient is irrelevant. This provision is used when the time of supply precedes the exporting of the goods. The supplier need not retain ownership of the goods until they are exported; the supplier is only required to enter them for export.

Generally, goods that will be exported can be zero-rated only if they are exported within 28 days of the “time of supply”. The Commissioner has discretion to extend that time frame if circumstances beyond the control of the supplier and the recipient prevent the goods being exported within the 28 days or, because of the nature of the supply, it is not practicable for the goods to be exported within 28 days of the “time of supply”. The standard GST rate applies if the goods are not exported within 28 days of the time of supply or such further period as the Commissioner allows.

QWBA, [QB 15/14](#), “Goods and Services Tax — Progress payments on boats to be exported by supplier” deals with the Commissioner’s discretion in this regard. The item considers when a GST-registered boat builder can zero-rate progress payments made by an overseas buyer for the construction of a boat that will be entered for export (or deemed to be entered for export) by the supplier.

The item notes that where an agreement provides for progress payments to be made periodically during the term of the agreement, each payment will have its own time of supply. Therefore, the first progress payment will trigger the 28-day export requirement and this requirement is unlikely to be satisfied. Therefore, a supplier wishing to zero-rate the supply will need to apply to the Commissioner for an extension of the 28-day requirement. The application should be made before the end of the first 28-day period. The application must be in writing and should include relevant documents (including the supply contract), the date

construction is intended to be completed and the intended date of export. Each application will be considered on a case-by-case basis. However, the item states that the Commissioner will usually grant an extension in this situation. Where an extension is granted, the supply can be zero-rated as long as export occurs within the term of the extension.

The QWBA also notes that the same principles will apply to other engineering works that involve progress payments and where the goods will ultimately be exported.

Further extensions for more than 3 months can be applied for in the normal way under s [11\(5\)](#) and will be considered on a case-by-case basis. IR will consider the additional or industry-specific circumstances that are beyond the control of the exporter and importer and that prevent the goods from being exported within the initial 3-month extension period. Records should be kept to justify any extension.

Example: Application for an extension for more than three months

Hema exports valuable artworks. Because of individual circumstances, meaning that export must be highly secure, Hema is advised that delays will be more significant for some valuable paintings she is exporting. Hema contacts IR and they agree that an extension for longer than 3 months is acceptable in this case. Hema is granted an extension of 6 months. Her 28-day period would have expired on 4 May 2020, but she is granted an extension to 4 November 2020 after making an application.

Exported secondhand goods

To reduce the tax base risks identified with zero-rating exported secondhand goods, an anti-avoidance measure is included. Section [11\(3C\)](#) requires GST to be charged if all of the following events have taken place:

- # the exported goods were previously zero-rated
- # the goods are subsequently imported into New Zealand
- # the goods are reacquired by the exporter in a condition that is substantially the same as when the goods were zero-rated, and
- # the exporter had claimed a secondhand goods input tax deduction in connection with the original export of the goods.

Section [11\(3D\)](#) provides that s [11\(3C\)](#) applies at the time the goods are reacquired unless GST is imposed under s [12](#) when the goods are subsequently imported into New Zealand.

Goods in transit, temporary imports and to-be-exported goods

Zero-rated status can apply to supplies of goods in relation to goods in transit or temporary imports. Services provided in relation to such commodities might also be zero-rated ([132-034](#)).

The supply of goods to a non-resident in relation to goods in transit or temporary imports is zero-rated if all the following conditions apply:

- # the goods are supplied in the course of repairing, renovating, modifying or treating the goods in transit or temporary import, and
- # the goods are incorporated into the goods in transit or temporary import, or (being consumable goods) become unusable or worthless as a result of being used in the repair, etc.

Hence, zero-rated status applies to the supply of items such as motor oil, engines, and ropes used in rigging if they are supplied to a non-resident and will be installed on that person's temporary imported yacht.

IR requires the supplier retain adequate records to support any such zero-rating. These might include:

- # a copy of the non-resident's passport
- # a copy of the relevant New Zealand Customs temporary import entry permit, and
- # details of the goods supplied and evidence to show that they became part of the temporary import.

The zero-rating also applies to goods and services supplied in relation to newly purchased boats and aircraft that are to be exported under their own power in the same manner as for temporarily imported boats and aircraft. Goods that are supplied in the course of repairing, renovating, modifying or treating a to-be-exported boat or aircraft and are incorporated into that boat or aircraft, or (being consumable goods) become unusable or worthless, are zero-rated. Services supplied in relation to these boats and aircraft are also zero-rated ([132-034](#)).

Boats and aircraft

Zero-rated status applies where a boat or aircraft is sold and exported under its own power to a place out of New Zealand by the purchaser within 60 days of possession being assumed by the purchaser (or their agent) (s [11\(1\)\(i\)](#) and [\(7\)](#)). The supplier must keep the following documentation to support zero-rating:

- # a written statement from the purchaser that the boat (or aircraft) is not intended for use within New Zealand and that the boat (or aircraft) will be exported from New Zealand
- # a written statement from the purchaser that the boat (or aircraft) will not be hired, given away, offered for sale, used as security or otherwise disposed of while it is in New Zealand
- # a record of the sale, and
- # a copy of the clearance document issued to the purchaser by New Zealand Customs upon leaving New Zealand (Regulation Form 8 — Certificate of Clearance) or other documentation that proves that the boat (or aircraft) has left New Zealand.

The supplier can make a written application to the Commissioner to have the 60-day period extended under s [11\(8\)](#) if circumstances beyond the control of the supplier and recipient prevent, or will prevent, the export of the boat or aircraft within the period.

The Commissioner may also, on the written application of the supplier, extend the 60-day period if the inability to export the boat or aircraft within the period relates to the recipient acquiring goods that are incorporated into the boat or aircraft, or consumed, as part of a repair, renovation or modification, or services supplied directly in connection with the boat or aircraft.

Goods exported on free-on-board (FOB) terms of sale

Section [11\(1\)\(eb\)](#) provides that exported goods supplied by GST-registered persons and shipped by the purchaser (who is a non-resident) on an FOB basis may be zero-rated provided the following requirements are all met:

- # the goods are supplied to a recipient
- # the goods are physically exported by the purchaser
- # the goods are not intended for reimportation for use other than making taxable or exempt supplies
- # the goods are not used or altered in any way by the purchaser, except to the extent necessary to prepare them for export
- # the supplier and recipient agree, at or before the time of supply, on the arrangements under which the goods will leave New Zealand
- # the goods do not accompany a passenger or crew departing from a New Zealand airport or seaport, and
- # the supplier retains sufficient information supporting the fact that the goods have left New Zealand.

Sealed bag system for overseas travellers

Zero-rating applies to goods supplied to overseas travellers under the sealed bag system that are entered or deemed to be entered for export. The duty-free goods are placed in a sealed bag that is uplifted by the traveller. The purchase is evidenced as having been exported by the plucking of a sales docket from the sealed bag by an agent of the duty-free shop when the passenger enters the departure lounge at an

international airport. Sales will be charged with GST at the standard rate if they cannot be evidenced as having been exported in the sealed bag by the matching of dockets between the airport and duty-free shop.

Agent may be treated as the principal

An agent in very limited circumstances may be treated as if they were the principal for exports of goods (s [60\(6\)](#)). This confers the benefits of the zero-rating of the supply on the agent by deeming that agent (and not the principal) to have received the supply. An export agent may accordingly recover GST charged on inputs that facilitate the export of goods purchased by a non-resident, as if they were incurred on the agent's own behalf and not the non-resident's. The agent may be treated as the principal only if:

- # the agent is a registered person
- # the agent "receives" (rather than makes) the supply
- # the supply received by the agent is charged with the standard rate of GST
- # the principal is not resident in New Zealand and is not a registered person, and
- # the principal and agent agree that is to be the case.

Any inquiry as to whether the supply of exported goods meets the requirements for zero-rated status should be addressed to IR rather than the New Zealand Customs Service.

Tooling costs

Section [11\(1\)\(p\)](#) allows GST-registered manufacturers to zero-rate the supply of certain tooling costs charged to a non-resident customer. Previously, when a New Zealand manufacturer charged a non-resident purchaser for the cost of specialised tools necessary to fulfil their order, these tooling costs could not be zero-rated. The tools are used to make exported products that are zero-rated, but because the tools themselves are not exported the manufacturers had to charge GST on the tooling component of the order. Amendments made ensure that, provided the tools are supplied to a non-resident that is not a registered person and they are used solely to manufacture exported goods, the supply of the tools will be zero-rated.

Law: GST ss [11](#), [60\(6\)](#)

Last reviewed on 31 December 2025

GST and exported services [¶32-034]

[¶32-034]

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The taxable supply of what can loosely be termed “exported” services is charged with GST at the rate of 0%.

International transportation and freight, including the insurance of and arranging for such transportation and freight — s 11A(1)(a)–(d), (1D)

This section zero-rates the transportation of passengers or goods to or from New Zealand and between overseas destinations. GST is also charged at 0% on domestic flights provided by the same supplier as part of a passenger’s international air travel and on any domestic component of international freight supplied by the same supplier (*Tax Information Bulletin* [¶105-108 Vol 10, No 5](#), May 1998 at 8). This also applies to the domestic legs of international passenger cruises if either the first place of departure or the final destination is a cruise outside New Zealand. An amendment made to s [11A\(1\)\(c\)](#) ensures that the domestic leg of the international transport of goods is also zero-rated.

Note that zero-rating under s [11A\(1\)\(a\)](#), (c) and (d) (relating to the transport, insurance or arranging of transport or insurance, of passengers or goods in certain circumstances) does not apply to a supply by a registered redeliverer and supplier under s [60E](#) of services in relation to a taxable supply of distantly taxable goods.

In QWBA, [QB 22/05](#): “GST – Does zero-rating apply to certain services that airport operators supply to international airline operators?”, the Commissioner concludes that zero-rating does not apply to garbage disposal, lighting and security, aircraft parking and terminal services that airport operators supply to international airline operators as the services did not involve the carriage of passengers or goods from one point to another and should be standard-rated, not zero-rated under s [11A\(1\)\(a\)](#).

Services connected with domestic transport services supplied to non-residents — s 11A(1)(cb), (1D)

Zero-rated status is accorded to the transport of household goods within New Zealand, including ancillary transport activities, provided that:

- # the services are supplied to a non-resident outside New Zealand at the time the service is performed
- # the goods are entered for home consumption under the Customs and Excise Act 2018
- # the supply arrangement is made before the goods are entered, and
- # the services are expected to be completed within 28 days of the goods being entered.

Note that zero-rating under this provision does not apply to a supply by a registered redeliverer and supplier under s [60E](#) of services in relation to a taxable supply of distantly taxable goods.

Services directly connected with offshore realty — s 11A(1)(e)

GST is charged at the rate of 0% on services provided directly in connection with overseas land and buildings. Examples include a New Zealand architect designing a sports stadium to be built in Australia. The supply is zero-rated for GST because it is for services provided directly in connection with overseas land and buildings.

Services supplied in connection with land outside New Zealand, or an improvement to such land, are also zero-rated when they are intended to enable or assist a change in the physical condition, or ownership or other legal status, of the land or improvement. The provision applies to a variety of professional services,

such as architectural, legal or real estate agents' services as part of a land transaction, where the outcome is to change the legal nature of the land but the services do not involve any physical change or connection to the land (and therefore previously could have been argued to fall outside the "directly in connection" test discussed below).

Example:

Maraina is looking to purchase an apartment in Brussels so that she can be closer to Melissa, her twin sister. Maraina engages a New Zealand-resident lawyer, Gordon, to act for her in a transaction to acquire an apartment. Gordon's services are in connection with land outside New Zealand and are intended to enable a change in the legal nature of the offshore land. His services are therefore zero-rated under section [11A\(1\)\(e\)](#). Maraina's residency status or location does not affect the application of the rule for services connected with land outside New Zealand.

Example from *Tax Information Bulletin* [¶295-106](#) Vol 29, No 5, June 2017 at 84.

Interpretation statement, [IS 18/07](#), "GST — zero-rating of services related to land" also considers this test. See discussion under s [11A\(1\)\(k\)](#) below.

Services (or the arranging of services) directly connected with offshore movable personal property (other than choses in action) — s 11A(1)(f), (jbb), (1D)

Services, or the arranging of services, directly connected with moveable personal property outside New Zealand when the services are performed are zero-rated. For example, a New Zealand company provides insurance cover to a New Zealand resident for a yacht he keeps in Fiji.

Note that zero-rating under this provision does not apply to a supply by a registered redeliverer and supplier under s [60E](#) of services in relation to a taxable supply of distantly taxable goods.

Services provided to overseas postal organisations — s 11A(1)(g)

Services provided to overseas postal organisations are zero-rated if they are for the delivery of postal articles within New Zealand that have been mailed overseas.

Services supplied in connection with goods in transit and temporary imports — s 11A(1)(h), (i),(iba)

Services provided directly in connection with goods in transit from outside New Zealand or a temporary import are zero-rated. To qualify for zero-rating status, the goods must not be removed from the ship or aircraft in which they arrived. A temporary import entry is granted if goods are brought into New Zealand for less than 12 months. Services such as painting, mechanical work, or hull repairs carried out to a temporarily imported yacht are zero-rated for GST (*Tax Information Bulletin* [¶1011-106 Vol 10, No 11](#), November 1998 at 22 and *Tax Information Bulletin* [¶1212-115 Vol 12, No 12](#), December 2000 at 23). From 30 March 2025, services provided directly in connection with temporarily imported commercial vessels are zero-rated (s 11A(1)(iba)).

Services supplied in connection with boats and aircraft to be exported — s 11A(1)(ib)

Services provided directly in connection with newly purchased boats and aircraft to be exported under their own power are zero-rated.

Services (or the arranging of services) performed outside New Zealand — s 11A(1)(j), (jb), (1B), (1C)

Services, or the arranging of services, physically performed outside New Zealand. This would apply when a New Zealand resident entertainer performs a tour overseas. Their services, and their agent's services in arranging the tour, are zero-rated, being physically performed outside New Zealand. The provisions do not apply to a supply of services treated by the reverse charge rules as being made in New Zealand unless the nature of the services is such that they can only be physically received at the time and place at which the services are physically performed.

Services from underlying supplier to operator of a marketplace — s 11A(1)(jc)

When a supply of remote services made through a marketplace is treated as two separate supplies under s [60\(1C\)](#), the supply of services from the underlying supplier to an operator of a marketplace under s [60\(1C\)\(a\)](#) is zero-rated under s [11A\(1\)\(jc\)](#) ([¶132-680](#)). From 1 April 2024, amendments to s [11A\(1\)\(jc\)](#) ensure a deemed supply by a GST-registered underlying supplier to a listing intermediary under s [60\(1C\)\(a\)](#) is zero-rated.

Services supplied to non-residents — s 11A(1)(k), (2), (3), (3B)

Zero-rated status is accorded to services supplied to persons who are not resident in New Zealand and who are outside New Zealand when the services are performed. It does not apply to services supplied directly in connection with land in New Zealand, or any improvements to the land, or moveable personal property situated in New Zealand at the time the services are performed. It also does not apply to restraint of trade agreements.

A wide range of services, in particular professional services that closely relate to land in New Zealand, are subject to GST under s [11A\(1\)\(k\)](#). The services that are not zero-rated are expanded to include services that are supplied in connection with land in New Zealand, or any improvement to the land, and are intended to enable or assist a change in the physical condition, or ownership or other legal status, of the land or improvement. See examples from *Tax Information Bulletin* [¶1295-106](#) Vol 29, No 5, June 2017 at 81–83 to illustrate the application of this rule.

A non-resident company or unincorporated body that has a minor presence in New Zealand, or a presence that is not effectively connected with the services provided, is “outside New Zealand” for the purposes of s [11A\(1\)\(k\)](#). A natural person who has a minor presence in New Zealand that is not directly in connection with the supply is also “outside New Zealand” for s [11A\(1\)\(k\)](#).

Zero-rating will not apply if the performance of the services (or it is reasonably foreseeable at the time the agreement is entered into that the performance of the services) will be received in New Zealand by another person, including an employee or director of the non-resident, other than in the course of making taxable or exempt supplies.

Section [11A\(1\)\(k\)](#) is also precluded by s [8\(2B\)](#) from applying to the supply of services to the extent that the supply of services consists of the “facilitation of inbound tour operations”. The “facilitation of inbound tour operations” is defined in s [8\(2F\)](#) ([¶132-647](#)).

Interpretation statement, [IS 18/07](#), “GST — zero-rating of services related to land” considers the tests under s [11A\(1\)\(e\)](#) and [\(k\)](#). The statement begins by discussing the meaning of “non-resident” and the situations in which a non-resident will be regarded as “outside New Zealand at the time the services are performed” and considering the types of interests that are “land” and whether services can be regarded as “directly in connection” with land. The statement then considers the application of the provisions and the discussion covers:

whether services are “in connection with” land

- # whether services enable or assist a relevant change to land and the types of services and the types of changes to land that are covered, and
- # the circumstances in which services can be regarded as having been “intended” to enable or assist such changes.

The statement includes a number of examples and the following non-exhaustive table of the GST treatment of particular services relating to specific land in New Zealand:

Examples of services relating to the physical condition or ownership or other legal status of land in New Zealand	Intended to enable or assist a change to the land	GST treatment	Relevant example in this item
Accounting services - intended to enable or assist a change to the land	Yes	Standard-rated	
Accounting services - not intended to enable or assist a change to the land	No	Zero-rated	
Advertising services for a land transaction	Yes	Standard-rated	
Architectural services for specific land	Yes	Standard-rated	Example 15
Construction on specific land	Yes	Standard-rated	Example 15
Construction supervision for specific land	Yes	Standard-rated	Example 15
Earthworks on specific land	Yes	Standard-rated	Example 15
Engineering for specific land	Yes	Standard-rated	Example 8
Gardening on specific land	Yes	Standard-rated	Example 12
Legal services for a land transaction	Yes	Standard-rated	Examples 8, 10, 11, 16 and 17
Legal services – not intended to enable or assist a change to the land	No	Zero-rated	Examples 5, 6, 7 and 9
Property management for specific land	Yes	Standard-rated	
Real estate services for a land transaction	Yes	Standard-rated	Examples 16 and 17
Surveying of specific land	Yes	Standard-rated	
Surveying – not intended to enable or assist a change to the land	No	Zero-rated	Example 14
Valuation services for specific land	Yes	Standard-rated	
Valuation services – not intended to enable or assist a change to the land	No	Zero-rated	Example 13
Valuation services for the general market	No	Zero-rated	Example 18
Valuation services for part of the market	No	Zero-rated	Example 18

QWBA, [QB 18/15](#), “GST — When will goods and services supplied in connection with the repatriation of human remains from New Zealand be zero-rated?” concludes that a body is not property and therefore services supplied in connection with the repatriation of human remains (such as cremation and embalming services) will be zero-rated where:

- # the services are supplied to a non-resident who is outside New Zealand when the services are performed, and

the remains will not be received by a third party in New Zealand (and it was not reasonably foreseeable when the contract was entered into that a third party would receive the remains in New Zealand).

The standard rules for zero-rating exported goods will apply to goods supplied in relation to the repatriation of human remains, such as caskets and urns.

Supply of information to non-residents — s 11A(1)(l), (2), (3)

The supply of information to non-residents who are outside New Zealand when the service is performed is zero-rated if the supply is made directly in connection with moveable personal property situated in New Zealand when the service is performed. For example, a New Zealand company carries out research on blood samples in New Zealand and provides results to an overseas company with no New Zealand presence.

As for s [11A\(1\)\(k\)](#), zero-rating will not apply if the performance of the services will be received in New Zealand by another person, including an employee or director of the non-resident, other than in the course of making taxable or exempt supplies. The minor presence of a non-resident company or unincorporated body in New Zealand, or a presence that is not effectively connected with the supply, will not affect the “outside New Zealand” requirement.

Services directly in connection with exported goods — s 11A(1)(m)

These services supplied are zero-rated if they are supplied to a non-resident who is outside New Zealand when the services are performed. For example, if a company carries out testing procedures on produce that is to be exported, the supply can be zero-rated if the recipient of the service is a non-resident.

Services directly in connection with tools for exported goods — s 11A(1)(maa)

Services supplied directly in connection with goods that are themselves zero-rated under s [11\(1\)\(p\)](#) (ie tools used in New Zealand solely to manufacture goods that will be for export from New Zealand and supplied to an unregistered non-resident) can be zero-rated. The services must also be supplied to an unregistered non-resident.

Services provided to an offshore warrantor — s 11A(1)(ma), (3)

Zero-rating status can apply to services relating to goods under warranty to the extent that the services are:

- # provided under the warranty
- # supplied for consideration that is given by a warrantor who is a non-resident, not a registered person and who is outside New Zealand at the time the services are performed, and
- # for goods that were charged with GST on importation.

For this provision, for a non-resident company or unincorporated body, “outside New Zealand” includes a minor presence in New Zealand or a presence that is not effectively connected with the supply.

In conjunction with s [5\(20\)](#) and [\(21\)](#), s [11A\(1\)\(ma\)](#) legislatively reverses the Court of Appeal’s judgment in *Suzuki New Zealand Ltd v C of IR* ([2001](#)) [20 NZTC 17,096](#), and relieves the impost of GST on unregistered offshore suppliers arising from an inability to recover GST on the cost of warranted repairs that had been included, directly or indirectly, in the purchase price of the goods.

Services relating to offshore intellectual property rights — s 11A(1)(n), (o), (3), (4)

Section [11A\(1\)\(n\)](#) zero-rates services relating to the establishment and protection of intellectual property rights. Section [11A\(1\)\(o\)](#) zero-rates restraint of trade agreements that restrict the pursuing or exercising of intellectual property rights. The zero-rating applies to the extent that the rights are exercised outside New Zealand, or in the case of s [11A\(1\)\(n\)](#) the services are supplied to a non-resident who is outside New Zealand when they are performed. A minor presence in New Zealand or a presence that is not effectively connected with the supply will not affect the “outside New Zealand” requirement for a non-resident company or unincorporated body.

Offshore restraint of trade agreements — s 11A(1)(p)

Agreeing not to carry on an activity outside New Zealand can be a zero-rated supply under this section, eg a New Zealand company makes a zero-rated supply when it agrees not to expand into Australia.

Business-to-business supplies of financial services — s 11A(1)(q), (r), (6)

Under s [11A\(1\)\(q\)](#) and [\(r\)](#) business-to-business supplies of financial services may be zero-rated ([¶32-310](#) and [¶32-320](#)).

Services connected with the Emissions Trading Scheme — s 11A(1)(s)–(w)

Most transactions where the service is an emissions unit and the supply is the transfer or surrender of an emissions unit, or the services are a unit (other than an emissions unit) issued by reference to the sequestration, or avoidance of emission, of human-induced greenhouse gases and verified to an internationally recognised standard and the supply is a sale or disposal of that unit, will be zero-rated. See also [IS 25/13](#), “Income tax and GST – forestry activities registered in the Emissions Trading Scheme” and [IS 25/24](#), “Income tax and GST - industries other than forestry registered in the Emissions Trading Scheme”.

Listed services supplied between electronic marketplaces — s 11A(1)(y)

From 1 April 2024, “listed services” supplied from one operator of an electronic marketplace to another operator of an electronic marketplace will be zero-rated.

Advertising space and advertising time supplied to non-residents

Binding public ruling [BR Pub 03/03](#), “Advertising space and advertising time supplied to non-residents — GST treatment”, provides that the provision of advertising space in a publication or advertising time on radio or television to a non-resident who is outside New Zealand at the time the service is performed will be zero-rated, provided that all the other requirements of s [11A\(1\)\(k\)](#) of the Act are satisfied. This ruling has been issued for an indefinite period.

“Directly in connection with”

Certain services must be supplied “directly in connection with” a particular commodity to be zero-rated. This applies to services relating to:

- # offshore property (s [11A\(1\)\(e\)](#))
- # offshore personal property (s [11A\(1\)\(f\)](#))
- # goods in transit and temporary imports (s [11A\(1\)\(h\)](#) and [\(i\)](#))
- # New Zealand personal property (s [11A\(1\)\(l\)](#))
- # exported goods (s [11A\(1\)\(m\)](#)), and
- # tools for exported goods (s [11A\(1\)\(maa\)](#)).

In addition, s [11A\(1\)\(k\)](#) specifically excludes services supplied “directly in connection with” New Zealand realty and personal property (other than choses in action).

The meaning of “directly in connection with” has yet to be comprehensively defined by the courts.

IR favours a narrow interpretation and considers that there must be a clear and direct relationship with the moveable personal property before a supply will be zero-rated. See *Tax Information Bulletin* ¶155-105 Vol 15, No 5, May 2003 at 7 and Case P78 ([1992](#)) 14 NZTC 4,523.

The High Court considered the application of the phrase “directly in connection with” in *Wilson & Horton Ltd v C of IR* ([1994](#)) 16 NZTC 11,221 where it was held that the supply of advertising space in a newspaper was not a service provided directly in connection with the advertised goods. Rather, it was a service directly connected with advertising; the goods being at least one step removed from the services provided by the newspaper proprietor.

Another example of how the phrase has been applied is provided by the High Court decision in *Malololailai Interval Holidays New Zealand Ltd v C of IR* ([1997](#)) 18 NZTC 13,137. Marketing services supplied to the taxpayer (promoting the sale of time-share holidays at a resort in Fiji) were held not to be services supplied “directly in connection with land, or any improvement thereto, situated outside New Zealand”. Neazor J ruled that the sale contract between the taxpayer and the purchaser of the holiday would fall within that phrase, but the transaction between the marketing company and the taxpayer was one step removed from the direct transaction.

Law: GST ss [5\(20\)](#), [\(21\)](#), [11A](#)

Last reviewed on 31 December 2025

Zero-rating of going concerns [¶32-035]

[¶32-035]

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Under s [11\(1\)\(m\)](#), the supply of a taxable activity can be zero-rated as the supply of a going concern only if there is (s [2\(1\)](#)):

- # a taxable supply to a registered person of the whole or part of a taxable activity that is a going concern (as defined) at the time of supply
- # agreement by both parties to the transaction, recorded in a document, that the supply is one of a going concern, and
- # a common intention between the parties that the supply is capable of being carried on as a going concern by the recipient.

The overall emphasis is on the recipient's ability to continue to operate a self-sufficient and stand-alone taxable activity previously operated by the supplier without having to acquire further commodities (*Cockburn v CS Development No 2 Ltd* ([\(2010\) 24 NZTC 24,431 \(CA\)](#)) and *Tepe Holdings Ltd v C of IR* ([\(2011\) 25 NZTC ¶20-091 \(CA\)](#)).

IR has stated that "in most cases the agreement itself will provide evidence of an intention to transfer a going concern" (*Tax Information Bulletin* [¶1212-116 Vol 12, No 12](#), December 2000 at 25). It is also recommended that parties:

- # record their intention in the agreement that the taxable activity be capable of being carried on as a going concern, and
- # be able to point to evidence of that intention (such as the transfer of all of the things necessary for the seamless continuation of the business).

Timing of the test

The GST Act requires the going concern test to be applied at the time of supply. The usual time of supply is when an invoice is issued by the supplier or when any payment is received by the supplier, whichever is earlier (ss [9](#) and [11\(1\)\(m\)](#)).

There had previously been some debate as to whether the going concern test should be applied at the time of supply or at the time of settlement of the transaction. However, the Court of Appeal in *Cockburn v CS Development No 2 Ltd* ([\(2010\) 24 NZTC 24,431](#)) made it clear that the relevant time was the time of supply. The Supreme Court dismissed an application for leave to appeal the Court of Appeal's decision, confirming that the GST time of supply was the appropriate time to apply the test, but also noting that it is still necessary to look forward to settlement date to determine what was actually being supplied. See *Cockburn v CS Development No 2 Ltd* ([\(2011\) 25 NZTC ¶20-007 \(SC\)](#)).

Rulings procedure

While the term "going concern" is now defined, parties to a transaction may still require guidance on whether a supply is that of a going concern. A taxpayer can approach IR for a binding ruling either before or after the settlement of the transfer, whereupon IR will consider copies of the relevant documents and correspondence and will determine whether the supply constitutes that of a going concern. If IR decides that the supply will not be a going concern, the vendor will be assessed for GST and, where a tax invoice has been issued showing a zero rate, the vendor will be instructed to show the correct amount of tax. Procedures for seeking a private binding ruling are set out in ss [91EC](#) and [91ED](#) of the TAA and require strict standards of disclosure ([¶1-525](#)).

Erroneously zero-rated transactions

Where a transaction is treated by both parties as being zero-rated but that treatment is subsequently found to be incorrect, the supplier is generally liable to account to the Commissioner for the GST component of the supply.

However, under s [78E](#), the supplier can increase the price by the rate of GST if the following 5 criteria are met:

- # the supplier and the purchaser have agreed in writing that the supply of the property was the supply of a going concern
- # the supplier has treated the supply as being chargeable with GST at the rate of 0% under the going concern provisions
- # the agreement does not provide for an increase to the agreed price in the event that the supply is not a zero-rated supply
- # the agreement does not otherwise contemplate or provide for the consequences if GST is not chargeable at 0%, and
- # the supply does not come within the provisions of s [11\(1\)\(m\)](#).

Example:

A vendor sells his tenanted commercial property for a price "inclusive of GST (if any)". The parties agree in writing to zero-rate the supply as a going concern. IR subsequently assesses the vendor for GST output tax on the sale when it is discovered that the purchaser is not registered for GST. The vendor, utilising s [78E](#), attempts to recover that sum from the purchaser.

The vendor does not qualify for relief under s [78E](#) because the requirement that the agreement "does not otherwise contemplate or provide for the consequences if tax is not chargeable at the rate of zero percent" is not satisfied. By inserting "inclusive of GST (if any)" after the price, the parties had contemplated what was to happen if GST was assessed on the transaction.

See, for example, *Capital Enterprises Ltd v Stewart* ([1998](#)) [18 NZTC 13,870 \(HC\)](#).

Even where the supplier cannot increase the purchase price, if the failure to correctly treat the supply as zero-rated was due to the default or deceit of the purchaser then the vendor can recover the subsequent GST liability as damages for breach of contract (*Starrenburg v Morte Holdings Ltd* ([2004](#)) [21 NZTC 18,696 \(CA\)](#)).

For a discussion of the zero-rating of land transactions, see [¶132-505](#).

Law: GST ss [2\(1\)](#) ("going concern"), [11\(1\)\(m\)](#), [78E](#)

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